

No Stopping the Bulls

The Sensex hit the historic 10,000-mark in February 2006. By now, a sense of euphoria was again suffusing the market. Emerging markets were the flavour of the season across the globe, and India was no exception to the trend. FIIs were buying everything in sight, and the retail money flow into mutual funds too was steadily on the rise. By the last week of April, the Sensex had rocketed to 12,000, and was not showing any signs of fatigue.

Reliance Petroleum was the blockbuster IPO of the year, with the company raising Rs 2,700 crore. The 45 crore share issue, priced at Rs 60 apiece, was subscribed a whopping 51 times, reflecting the frenzied mood in the primary as well as the secondary markets.

As stock market history shows, steep climbs are often followed by equally steep declines. A combination of rising commodity prices, firming up of interest rates globally, and concerns about expensive valuations of emerging market stocks triggered a worldwide fall in equity markets.

The Sensex fell below 9,000 by June, its 30 per cent fall the steepest since the bull market had started in May 2003. Many felt the bull market was as good as over.

GB was among those who had a contrarian view of the situation, thanks to his proximity to top market operators.

‘The economy still appears to be in good health. Companies are still in expansion mode, earnings are growing and jobs are being created. I would not be too worried,’ he told me. I knew he was echoing the views of either Radhakishan Damani or Rakesh. Damani had still not returned to the market, so in all likelihood it would have to be Rakesh’s views.